

Exit exam model for Economics students at round two

College of Business and Economics

Department of Economics

Final Model Exit Exam For Econ Students

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Time taken 1 hour 8 mins

Question 1

The Average total costs are calculated from,

Select one:

- a. Total output divided by total costs
- b. The change in total costs divided by the change in output
- c. Total costs divided by total output
- d. The change in output divided by the change in total costs

Feedback

The correct answer is: Total costs divided by total output

Question 2

Select one:

- a. (4, 5)
- b. (15,3)
- c. (3,10)
- d. (10,15)

Feedback

The correct answer is: (15,3)

Question 3

Which of the following is true?

Select one:

- a. Government expenditure multiplier in case of open economy is less than the case of closed economy
- b. Under floating exchange rates, fiscal policy is effective in changing output.
- c. Under fixed exchange rates, monetary policy is effective in changing output.
- d. Under fixed exchange rates, fiscal policy is ineffective in changing output.

Feedback

The correct answer is: Government expenditure multiplier in case of open economy is less than the case of closed economy

Question 4

If Congress passed a tax increase at the request of the president to reduce the budget deficit, but the Fed held the money supply constant, then the two policies together would generally lead to _____ income and a _____ interest rate.

Select one:

- a. Both prices and output
- b. No change in; lower
- c. No change in; higher
- d. Lower; higher
- e. Lower; lower

Feedback

The correct answer is: Lower; lower

Question 5

According to the sticky-wage model, an unexpected decrease in the price level _____ the real wage, _____ the quantity of labor hired, and _____ the quantity of output produced.

Select one:

- a. Lowers; increases; increases
- b. Raises; increases; increases

- c. Raises; decreases; decreases
- d. Lowers; decreases; decreases

Feedback

The correct answer is: Lowers; increases; increases

Question 6

Select one:

- a. Transfer resources from agriculture to manufacturing
- b. Increased interest in social welfare
- c. A strong central government encourages private enterprise.
- d. Emerging entrepreneurs

Feedback

The correct answer is: Transfer resources from agriculture to manufacturing

Question 7

In game theory, a choice that is optimal for a firm no matter what is referred to as

Select one:

- a. Game-winning choice.
- b. Dominant strategy.
- c. Super optimal.
- d. A gonzo selection.

Feedback

The correct answer is: Dominant strategy.

Question 8

Assume that the economy begins in long-run equilibrium. Then the Fed reduces the money supply. In the short run _____, whereas in the long run prices _____ and output returns to its original level.

Select one:

- a. Output decreases and prices are unchanged; fall

- b. Output and prices both decrease; rise
- c. Output and prices both decrease; fall
- d. Output decreases and prices are unchanged; rise

Feedback

The correct answer is: Output and prices both decrease; fall

Question 9

According to the IS-LM model, if Congress raises taxes but the Fed wants to hold income constant, then the Fed must _____ the money supply.

Select one:

- a. Increase
- b. First decrease and then increase
- c. First increase and then decrease
- d. Decrease

Feedback

The correct answer is: Increase

Question 10

Which one of the following is not among the Common Characteristics of Developing Countries?

Select one:

- a. Prevalence of imperfect markets and limited information.
- b. High and rising levels of unemployment and underemployment
- c. Minor degree of dependence on external economic & political forces.
- d. Significant dependence on agricultural production and primary product exports.

Feedback

The correct answer is: Minor degree of dependence on external economic & political forces.

Question 11

Which one of the following has not at least one solution in the interval $[0, 1]$?

Select one:

- a. $f(x)=x^2-2$
- b. $f(x) = -8x+ 1$

Feedback

The correct answer is: $f(x)=x^2-2$

Question 12

Which one of the following model is appropriate for the above structural equations?

Select one:

- a. We can apply ILS to estimate the parameters of both Equation (1) and Equation (2).
- b. We can apply 2SLS to estimate the parameters of only Equation (1).
- c. We can apply 2SLS to estimate the parameters of both Equation (1) and Equation (2).
- d. We can apply 2SLS to estimate the parameters of only Equation (2).

Feedback

The correct answer is: We can apply 2SLS to estimate the parameters of only Equation (1).

Question 13

When we say a country has a comparative advantage in producing a good, which one is true?

Select one:

- a. It is able to produce the good at a lower cost than its trading partner.
- b. Its opportunity cost of producing the good is more than that of its trading partner.
- c. Its opportunity cost of producing the good is equal to that of its trading partner.
- d. Its opportunity cost of producing the good is less than that of its trading partner.

Feedback

The correct answer is: It is able to produce the good at a lower cost than its trading partner.

Question 14

In game theory, course of action open to a player during a game is referred to as the

Select one:

- a. Strategy
- b. Reward.
- c. Penalty.
- d. Payoff.

Feedback

The correct answer is: Strategy

Question 15

Within a clearly defined range or band, exchange rates are permitted to fluctuate freely.

Select one:

- a. Adjustable Peg Exchange Rate
- b. Managed Floating Rate
- c. Freely Floating Rates
- d. Target zone forex system

Feedback

The correct answer is: Target zone forex system

Question 16

Which one of the following is false?

Select one:

- a. Economic analysis prioritizes equity while social analysis takes in to account resource efficiency.
- b. Social discount rate is the rate used to discount project's economic cash flow to its present value.
- c. Monitoring and evaluation are processes of management functions through which stakeholders ascertain whether projects meet their objectives or not.

Feedback

The correct answer is: Economic analysis prioritizes equity while social analysis takes in to account resource efficiency.

Question 17

If two variables are trending over time, a regression of one on the other could have a high R^2 even if the two are totally unrelated, thus, such type of regression is known as_____

Select one:

- a. Sample regression
- b. Spurious regressions
- c. Simultaneous regression
- d. Population regression

Feedback

The correct answer is: Spurious regressions

Question 18

In the IS-LM analysis, the increase in income resulting from a tax cut is usually _____ the increase in income resulting from an equal rise in government spending.

Select one:

- a. Less than
- b. Equal to
- c. greater than
- d. Sometimes less and sometimes greater than

Feedback

The correct answer is: Less than

Question 19

Which one of the following is not the difference between monitoring and evaluation?

Select one:

- a. Monitoring provides information about the current status of the project and helps to determine immediate remedial actions, while evaluation provides information and recommendations for long-term planning and lessons for organizational growth/success.
- b. Monitoring is an ongoing process which begins and ends with the project cycle.
- c. Evaluation is a process conducted at specific points within the project cycle and even after project completion.

d. Monitoring is conducted at specified time while evaluation is a continuous process.

Feedback

The correct answer is: Monitoring is conducted at specified time while evaluation is a continuous process.

Question 20

According to the Infant Industry Argument

Select one:

- a. Costs of infant firms are low because their workers lack seniority, and this contributes to comparative advantage.
- b. The industry will eventually be able to reap the benefits of large-scale production and lower costs.
- c. When technological change creates a new industry, it is the innovating country that is likely to be able to export it.
- d. If a firm exports for a price lower than it charges in its domestic market, then that constitutes unfair trade.

Feedback

The correct answer is: The industry will eventually be able to reap the benefits of large-scale production and lower costs.

Question 21

Which of the following describes Nash equilibrium?

Select one:

- a. All firms in an industry are earning zero economic profits.
- b. A firm in an industry chooses a strategy that is optimal given the choices of every other firm.
- c. A firm chooses its dominant strategy, if one exists.
- d. Market price results in neither a surplus nor a shortage.

Feedback

The correct answer is: A firm in an industry chooses a strategy that is optimal given the choices of every other firm.

Question 22

What are the general solutions for $y_{t+2}+y_{t+1}-2y_t=6$ and $y_{t+2}-2y_{t+1}+y_t=6$ respectively?

Select one:

- a. $y_c = -A_1 + A_2 e^{(-2t)-3}$ & $y_c = -A_1 - A_2 t + 6$
- b. $y_c = -A_1 + A_2 (-2)^t + 3$ & $y_c = -A_1 - A_2 - 3$
- c. $y_c = -A_1 + A_2 (-2)^t + 6$ & $y_c = -A_1 - A_2 t - 3$
- d. $y_c = A_1 + A_2 (-2)^t + 2t$ & $y_c = A_1 + A_2 t + 3t^2$

Feedback

The correct answer is: $y_c = A_1 + A_2 (-2)^t + 2t$ & $y_c = A_1 + A_2 t + 3t^2$

Question 23

Which one of the following is false about the first order differential equation $dy/dt + 4y - 12 = 0$

Select one:

- a. The definite solution $y(t) = -2e^{(-4t)} + 3$, if IVP $y(0) = 1$
- b. The definite solution $y(t) = -3e^{(-4t)} + 3$, if IVP $y(0) = 0$, (IVP initial value problem)
- c. The definite solution $y(t) = 3e^{(-4t)} + 3$, if IVP $y(0) = 3$
- d. The general solution is $y(t) = Ae^{(-4t)} + 3$, where A is arbitrary constant

Feedback

The correct answer is: The definite solution $y(t) = 3e^{(-4t)} + 3$, if IVP $y(0) = 3$

Question 24

According to the imperfect-information model, when the price level rises and the producer expects the price level to rise, the producer:

Select one:

- a. Does not change production
- b. Decreases production.
- c. Hires more workers.

Feedback

The correct answer is: Does not change production

Question 25

In labor surplus country the K/L (capital labor ratio) is low, and once the trade is opened up.

Select one:

- a. The cost of capital will be same as before
- b. The price of labor will go down
- c. The price of labor will be same as before
- d. The cost of capital will go down

Feedback

The correct answer is: The cost of capital will go down

Question 26

What are the characteristics of monopolistic competition?

Select one:

- a. Many firms, differentiated product, and no artificial barriers to entry.
- b. Few firms, homogeneous product, and artificial barriers to entry
- c. Many firms, homogeneous product, and artificial barriers to entry.
- d. Few firms, differentiated product, and no artificial barriers to entry.
- e. Many firms, differentiated product, and artificial barriers to entry.

Feedback

The correct answer is: Many firms, differentiated product, and artificial barriers to entry.

Question 27

According to the kinked demand model, a firm will assume that rival firms will

Select one:

- a. Match price increase but not price cuts.
- b. Keep their prices constant.
- c. Keep their rate of production constant.
- d. Match price cuts but not price increases.

Feedback

The correct answer is: Keep their prices constant.

Question 28

Which one of the followings empirical approach of defining money is supported by Keynesian Economics?

Select one:

- a. Gurley and Shaw approach
- b. Conventional approach
- c. Chicago approach
- d. Central bank approach

Feedback

The correct answer is: Conventional approach

Question 29

What is the decision rule of DF test, if the computed tau does not exceed the critical tau value?

Select one:

- a. Reject the null hypothesis
- b. Do not reject the null hypothesis
- c. Insignificance
- d. Significance

Feedback

The correct answer is: Do not reject the null hypothesis

Question 30

Which one of the following is not part of the core values of development?

Select one:

- a. Meeting basic necessities of life
- b. Freedom of happiness
- c. Self esteem

d. Having a choice

Feedback

The correct answer is: Freedom of happiness

Question 31

The gap or distance between the disconnected marginal revenue curves in kinked model depends on:

Select one:

a. Elasticity

b. Price

c. Output

d. Competition

Feedback

The correct answer is: Elasticity

Question 32

All are the main Characteristics of a Commodity to be accepted as money except?

Select one:

a. Portability

b. Indivisibility

c. Durability

d. Standardization

Feedback

The correct answer is: Indivisibility

Question 33

Given $y = X^3 - 12X^2 + 36X + 8$, then at $X=3$, the function is

Select one:

a. Concave

b. Zero

- c. Convex
- d. Increasing

Feedback

The correct answer is: Concave

Question 34

Which one of the followings are not nominal Variables?

Select one:

- a. Price level
- b. Employment
- c. Supply of money.
- d. Inflation rate,

Feedback

The correct answer is: Employment

Question 35

If the consumption function is given by $C = 150 + 0.85Y$ and Y increases by 1 unit, then savings _____ unit:

Select one:

- a. Increases by 0.15
- b. Decreases by 0.85
- c. Decreases by 0.15
- d. Increases by 0.85

Feedback

The correct answer is: Increases by 0.15

Question 36

All of them are non-collusive oligopoly models, except:

Select one:

- a. Cournot

- b. Bertrand
- c. Kinked
- d. Cartel

Feedback

The correct answer is: Cartel

Question 37

Depository institutions do all the following EXCEPT

Select one:

- a. Create required reserve ratios.
- b. Pool risks & provides the information for business actors
- c. Create liquidity.
- d. Minimize the cost of obtaining funds.

Feedback

The correct answer is: Create required reserve ratios.

Question 38

Which of the following concerning the "Intra-industry trade model" is untrue?

Select one:

- a. It is possible for all factors to gain in international trade
- b. Is related to trade in parts and components of a product
- c. The pre-trade relative commodity prices may no longer accurately predict the pattern of trade

Question 39

Which of the following can be a reason for limited growth of world demand for primary exports?

Select one:

- a. Decreased efficiency in industrial uses of raw materials
- b. The substitution of synthetics for natural raw materials like rubber, copper, and cotton.

- c. The decline productivity of agriculture in developed countries.
- d. High population growth rate in developed countries.

Feedback

The correct answer is: The substitution of synthetics for natural raw materials like rubber, copper, and cotton.

Question 40

Terms of trade deteriorate because of;

Select one:

- a. Oligopolistic control of factor and commodity markets in developed countries combined with B. Increasing competitive sources of supply of LDC export tables
- b. A generally higher level of the income elasticity of (elastic) demand for LDC exports.
- c. A generally higher level of the price elasticity of demand for LDC exports

Feedback

The correct answer is: Oligopolistic control of factor and commodity markets in developed countries combined with B. Increasing competitive sources of supply of LDC export tables

Question 41

One of the following is not the source of pure monopoly?

Select one:

- a. Homogeneity of the product
- b. Patent right and legal restriction
- c. Ownership of strategic raw material
- d. Economies of scale

Feedback

The correct answer is: Homogeneity of the product

Question 42

When firms experience unplanned inventory accumulation, they typically:

Select one:

- a. lay off workers and reduces production
- b. Call for more government spending.
- c. Hire more workers and increase production.
- d. Build new plants.

Feedback

The correct answer is: lay off workers and reduces production

Question 43

The expectation of future devaluation causes a balance of payments crisis marked by

Select one:

- a. A sharp fall in reserves and a rise in the home interest rate above the world interest rate
- b. A sharp fall in reserves & an even bigger fall in home interest rate below that of the world
- c. A sharp rise in reserves and a fall in the home interest rate below the world interest rate
- d. A sharp rise in reserves & an even greater rise in home interest rate above that of the world

Feedback

The correct answer is: A sharp fall in reserves and a rise in the home interest rate above the world interest rate

Question 44

Young industries cannot be expected to compete with established, dated industries.

Select one:

- a. Revenue Argument
- b. Infant Industry Argument
- c. Employment Argument
- d. Diversification of Industry Argument

Feedback

The correct answer is: Infant Industry Argument

Question 45

Rationality of consumers implies that

Select one:

- a. They are always right and perfect on their decision
- b. They spends on goods and service regardless of their income and price of goods
- c. They decide randomly on certain economic phenomenon
- d. They always calculate the cost and benefit of different alternatives

Feedback

The correct answer is: They always calculate the cost and benefit of different alternatives

Question 46

If the Durbin Watson d-test statistics is found to be equal to zero, this mean that first order autocorrelation is

Select one:

- a. Perfectly negative
- b. Perfectly positive
- c. Imperfect negative correlation
- d. Zero

Feedback

The correct answer is: Perfectly positive

Question 47

The difference between economic and social effect of a project is

Select one:

- a. Financial analysis is the basic for both.
- b. Both maximize social net benefits.
- c. Economic analysis considers distributional effect than social analysis.
- d. One extra dollar contribution to the poor has more value than to the reach in excess of economic effect.

Feedback

The correct answer is: One extra dollar contribution to the poor has more value than to the rich in excess of economic effect.

Question 48

All of the following statements are correct, except:

Select one:

- a. Oligopoly firms may obtain abnormal profit
- b. The more flatter a demand curve is, the lower will be its elasticity of demand
- c. Kinked demand model has cost change tolerance interval
- d. Monopolistically competitive firms produce on their level of capacity

Feedback

The correct answer is: The more flatter a demand curve is, the lower will be its elasticity of demand

Question 49

Which of the following concepts apply to oligopoly more than to any other market structure?

Select one:

- a. Economies of scale and significant barriers to entry
- b. Advertising and product differentiation
- c. Easy entry and more than one firm in the market
- d. Concentration and interdependence

Feedback

The correct answer is: Concentration and interdependence

Question 50

An increase in the opportunity cost of holding money creates a _____ the money demand curve and an increase in real GDP creates a _____ the money demand curve.

Select one:

- a. Movement up along; leftward shift of

- b. Movement up along; rightward shift of
- c. Leftward shift of; movement down along
- d. Rightward shift of; movement down along

Feedback

The correct answer is: Movement up along; rightward shift of

Question 51

Which of the following is a liability on the balance sheet of the national bank of Ethiopia?

Select one:

- a. Ethiopian government securities
- b. Loans to depository institutions
- c. International reserves in foreign currencies
- d. Currency in circulation & Federal Reserve notes, coins

Feedback

The correct answer is: Currency in circulation & Federal Reserve notes, coins

Question 52

In the short run, an increasing the number of workers beyond maximum of total product will do nothing for the production process, all are the most likely reason except?

Select one:

- a. Fall in the marginal productivity of variable inputs
- b. Limitations on the use of the fixed inputs
- c. Employing highly specialized workers initially and less specialized finally
- d. Crowded working condition and unfavorable working environment

Feedback

The correct answer is: Crowded working condition and unfavorable working environment

Question 53

Which of the following can be considered as a difference between traditional economics and development economics?

Select one:

- a. Unlike traditional economics development economics is concerned with allocation of resources
- b. Development economics is less wider in scope than traditional economics
- c. Unlike traditional economics development economics is concerned with political and social aspects of development

Question 54

Which one of the following is not the basic assumptions of growth models?

Select one:

- a. Constant growth rate of labour supply.
- b. Production function is homogenous of degree one
- c. Constant returns to scale

Question 55

In a small open economy, if the government adopts a policy that lowers imports, then that policy:

Select one:

- a. Lowers the real exchange rate.
- b. Raises the real exchange rate and increases net exports.
- c. Raises the real exchange rate and decreases net exports
- d. Raises the real exchange rate and does not change net exports.

Feedback

The correct answer is: Raises the real exchange rate and decreases net exports

Question 56

Sterilized foreign exchange intervention carried out by a central bank

Select one:

- a. Leads to wild fluctuations in the domestic money supply
- b. All of the above

- c. Leaves the domestic money supply unchanged
- d. Involves no transactions of assets

Feedback

The correct answer is: Leaves the domestic money supply unchanged

Question 57

In a small open economy, when the government reduces national saving, the equilibrium real exchange rate:

Select one:

- a. falls and net exports fall
- b. Falls and net exports rise.
- c. Rises and net exports rise.
- d. Rises and net exports fall.

Feedback

The correct answer is: Rises and net exports fall.

Question 58

Social fractionalization in LDCs has following outcomes Except?

Select one:

- a. It rise political instability and low schooling
- b. It associated with civil strife, and violent conflicts.
- c. Expose for underdeveloped financial system, insufficient infrastructure
- d. It often cited as a source of creativity and innovation.

Feedback

The correct answer is: It often cited as a source of creativity and innovation.

Question 59

The aim is to find the optimal time path for a control variable, which is selected in each period state as.

Select one:

- a. Newton's Method Theorem
- b. Kuhn - Tucker Conditions
- c. Optimal control theory
- d. Intermediate Value Theorem

Feedback

The correct answer is: Optimal control theory

Question 60

The opportunity cost of holding money is

Select one:

- a. Real GDP.
- b. The nominal interest rate
- c. The inverse of the price level multiplied by the nominal interest rate
- d. The price level.

Feedback

The correct answer is: The nominal interest rate

Question 61

Which one of the following is wrong about the link between education, economic growth and income inequality in LDCs?

Select one:

- a. Educational systems of many developing nations sometimes act to decrease rather than to increase income inequalities.
- b. There are positive correlation between level of education and level of lifetime earnings
- c. Educated and skilled labor force is a necessary condition of sustained economic growth.
- d. Providing the kind of training and education that would promote literacy and basic skills

Feedback

The correct answer is: Educational systems of many developing nations sometimes act to decrease rather than to increase income inequalities.

Question 62

The movement of fund from savers to borrowers through financial market is,

Select one:

- a. Direct finance
- b. Money market
- c. Financial intermediaries
- d. Indirect finance

Feedback

The correct answer is: Indirect finance

Question 63

Which of the following functions is not homogeneous?

Select one:

- a. $f(x,y)=x^2 y^2$
- b. $f(x,y)=x^2+xy$
- c. $f(x,y)=x^2+y^2$
- d. $f(x,y)=x^2+xy^2$

Feedback

The correct answer is: $f(x,y)=x^2+xy^2$

Question 64

Crowding out occurs when an increase in government spending _____ the interest rate and private investment _____

Select one:

- a. Increases; decreases
- b. Decreases; decreases
- c. Increases; increases
- d. Decreases, increase

Feedback

The correct answer is: Decreases, increase

Question 65

Which of the followings is true?

Select one:

- a. In dominant strategies player must take in to account the strategies that other players to choose.
- b. If players are irrational, a player chooses the strategy that gives him his highest payoff.
- c. Every game has a dominant strategy for each player
- d. In many games one or more players may or may not have a dominant strategy.

Feedback

The correct answer is: In many games one or more players may or may not have a dominant strategy.

Question 66

Based on the concept of impact analysis, which one is true?

Select one:

- a. It is progress evaluation of implementation.
- b. It is pre evaluation of end of implementation.
- c. It is post evaluation of the implemented project.
- d. Where risks are experienced

Feedback

The correct answer is: It is post evaluation of the implemented project.

Question 67

Which one of the following ordinary differential equation is degree four and orders three?

Select one:

- a. $[(d^2 y)/(dx^2)]^7 + [(d^3 y)/(dx^3)]^4 - [dy/dx] + 80y = 0$
- b. $4[(d^4 y)/(dx^4)] + 4[(d^3 y)/(dx^3)] + 4[(d^2 y)/(dx^2)] - 4[dy/dx] + 4xy = 0$
- c. $[(d^2 y)/(dx^2)]^7 + [(d^4 y)/(dx^4)]^3 - 80y = 0$

d. $[(d^4 y)/(dx^4)]^3 - [(d^3 y)/(dx^3)]^4 + 4[dy/dx]^2 + xy = 0$

e. $[(d^3 y)/(dx^3)] + [(d^2 y)/(dx^2)] + [dy/dx] + 4xy = 0$

Feedback

The correct answer is: $[(d^2 y)/(dx^2)]^2 + [(d^3 y)/(dx^3)]^4 - [dy/dx] + 80y = 0$

Question 68

The first economist in showing how all countries would gain from international trade through international division of labor

Select one:

- a. Alfred Marshal
- b. David Ricardo
- c. John Stuart Mill
- d. Adam Smith

Feedback

The correct answer is: Adam Smith

Question 69

The contribution of agriculture to economic development lies in the following except?

Select one:

- a. Increasing rural incomes to be mobilized by the State.
- b. Diminish the demand for industrial products
- c. Providing more food to the rapidly expanding population
- d. Providing additional foreign exchange earnings

Feedback

The correct answer is: Diminish the demand for industrial products

Question 70

Holding other factors constant, legislation to cut taxes in an open economy will:

Select one:

- a. Reduces national saving and lead to a trade surplus.

- b. Reduce national saving and lead to a trade deficit.
- c. Increase national saving and lead to a trade surplus
- d. Increase national saving and lead to a trade deficit

Feedback

The correct answer is: Increase national saving and lead to a trade deficit

Question 71

Cartel acting like a monopolist firm can be expressed in:

Select one:

- a. Market sharing
- b. Non price competition
- c. Joint profit maximization
- d. A price leadership

Feedback

The correct answer is: Joint profit maximization

Question 72

Which one of the following securities is money market security?

Select one:

- a. Stocks
- b. Long term bonds
- c. Equities
- d. Treasury bills

Feedback

The correct answer is: Treasury bills

Question 73

What is the general solution of exact differential equation $(60ty^2)dy + (12t^3 + 20y^3)dt = 0$ & $t^3 dy + 3yt^2 dt = 0$ respectively?

Select one:

- a. $F(y, t) = 3t^4 + 20ty^3 + c$ & $F(y, t) = t^3 y + c$
- b. $F(y, t) = t^3 + 4ty^2 + c$ & $F(y, t) = 6t^2 y + c$
- c. $F(y, t) = 4t^3 + 30ty^2 + c$ & $F(y, t) = 3t^2 y + c$
- d. $F(y, t) = 30y^2 t + 12t^2 y^2 + c$ & $F(y, t) = 3t^2 y^2 + c$
- e. $F(y, t) = 120ty + 60y^2 + c$ & $F(y, t) = 3t^2 + 6yt + c$

Feedback

The correct answer is: $F(y, t) = 3t^4 + 20ty^3 + c$ & $F(y, t) = t^3 y + c$

Question 74

For each commodity in two nations, the production functions are the same yet distinct for various commodities.

Select one:

- a. No reversal of factor intensity
- b. Factor-Endowment theory
- c. Demand reversal argument
- d. Factor-Price equalization theorem

Feedback

The correct answer is: No reversal of factor intensity

Question 75

An appreciation of the real exchange rate in a small open economy could be the result of the expiration of an investment tax-credit provision.

Select one:

- a. A decrease in the world interest rate.
- b. An increase in taxes.
- c. An increase in government spending.

Feedback

The correct answer is: An increase in taxes.

Question 76

According to classical quantity theory of Money demand, we can conclude that;

Select one:

- a. Velocity of money is flexible
- b. Money demand can be affected by interest rates
- c. Money demand is decreasing function of nominal income

Question 77

In the _____, the slope coefficient measures directly the change in the probability of an event occurring as the result of a unit change in the value of a regressor, with the effect of all other variables held constant.

Select one:

- a. Probit model
- b. Logit model
- c. Stationary test
- d. Linear probability model

Feedback

The correct answer is: Linear probability model

Question 78

In equilibrium of a certain simple economy with government, investment equals:

Select one:

- a. Private saving
- b. National saving.
- c. Public Saving
- d. Household saving.

Feedback

The correct answer is: National saving.

Question 79

The required reserve ratio is

Select one:

- a. The fraction of a bank's total deposits that are required to be held in reserve
- b. The ratio bank's total loan that is required to be held in reserve
- c. The amount of money that banks require borrowers to reserve in their accounts
- d. The fraction of a bank's total profit that is required to be held in reserve

Feedback

The correct answer is: The fraction of a bank's total deposits that are required to be held in reserve

Question 80

Ethiopia adds its import restrictions on US Machineries

Select one:

- a. The value of USD to appreciate and the value of Birr to depreciate
- b. The value of USD to depreciate and the value of Birr to appreciate
- c. The value of USD to depreciate and the value of Birr to depreciate
- d. The value of USD to appreciate and the value of Birr to appreciate

Feedback

The correct answer is: The value of USD to depreciate and the value of Birr to appreciate

Question 81

The difference between project and program arises in all except

Select one:

- a. A program consists of larger routine effort requiring activity plan but with less precisely defined objective.
- b. Less technical analysis is required in project than program.
- c. There is precisely defined measurement of output in projects while there is the case where high returns from one part of it will mask low returns from another in a program.
- d. Project is clearly defined distinct portion of larger program.

Feedback

The correct answer is: Less technical analysis is required in project than program.

Question 82

Which of the following is not true about factor pricing under perfect competition?

Select one:

- a. The market demand for curve is less elastic.
- b. $MRPL=VMPL$
- c. The equilibrium of a firm employing labor is given by $MRPL=W$.
- d. The long run demand for factor curve is more elastic.

Feedback

The correct answer is: The market demand for curve is less elastic.

Question 83

Net exports equal GDP minus domestic spending on:

Select one:

- a. Domestic goods and services minus foreign spending on domestic goods and services.
- b. Domestic goods and services.
- c. All goods and services.
- d. All goods and services plus foreign spending on domestic goods and services.

Feedback

The correct answer is: Domestic goods and services minus foreign spending on domestic goods and services.

Question 84

The oligopoly market structure could be described using the expressions below except:

Select one:

- a. Different oligopoly models are used to determine a unique equilibrium situation
- b. Firms often pursue mutually interdependent
- c. It involves the production and delivery of either identical or differentiated products
- d. Alternative equilibrium conditions can be achieved for the oligopoly problem

Feedback

The correct answer is: It involves the production and delivery of either identical or differentiated products

Question 85

Informal sector is a sector

Select one:

- a. It dominated about 20% than formal sector
- b. It is characterized by a small number of large-scale production and service activities.
- c. It provides surplus for growth in the urban economy.
- d. It has a small base in terms of output and employment.

Feedback

The correct answer is: It provides surplus for growth in the urban economy.

Question 86

Which one of the following statements is true for both monopolistically competitive and oligopolistic industries?

Select one:

- a. It is impossible for new firms to enter the industries
- b. Firms have some degree of control over prices
- c. Free entry and exit from the market

Feedback

The correct answer is: Firms have some degree of control over prices

Question 87

Which one of the following is false about dummy variables?

Select one:

- a. The category that is assigned a value 0 is referred to as the benchmark category
- b. The coefficient attached to the dummy variable is referred to as the differential slope coefficient.

- c. The intercept value (β_0) represents the mean value of the benchmark category
- d. The dummy variables introduced must be one less than the number of variable.

Feedback

The correct answer is: The coefficient attached to the dummy variable is referred to as the differential slope coefficient.

Question 88

If disposable income is 4,000, consumption is 3,500, government spending is 1,000, and tax revenues are 800, national saving is equal to:

Select one:

- a. 700.
- b. 1,000
- c. 300.
- d. 500.

Feedback

The correct answer is: 500.

Question 89

If the short-run IS-LM equilibrium occurs at a level of income above the natural rate of output, in the long run the _____ will _____ in order to return output to the natural rate.

Select one:

- a. Interest rate; decrease
- b. Money supply; increase
- c. Consumption function; decrease
- d. Price level; increase

Feedback

The correct answer is: Price level; increase

Question 90

Select one:

- a. Increase
- b. Decrease
- c. First increase and then decrease
- d. First decrease and then increase

Feedback

The correct answer is: Increase

Question 91

Which one of the following is/are the disadvantage of fixed effect model?

Select one:

- a. High degree of freedom
- b. Create perfect multicollinearity
- c. Difficulty to identify the impact of time variant variable
- d. Create homoscedasticity

Feedback

The correct answer is: Create perfect multicollinearity

Question 92

Identify the wrong statement among the following.

Select one:

- a. Marginal wage cost curve for monopsonist firm lies above its average wage cost curve
- b. Labor demand by monopoly firm is generally less than that of competitive firm

Question 93

If the government wants to raise investment but keep output constant, it should:

Select one:

- a. Adopt a loose monetary policy and a loose fiscal policy.
- b. Keep monetary policy unchanged but adopt a tight fiscal policy.
- c. Adopt a loose monetary policy but keep fiscal policy unchanged.

d. Adopt a loose monetary policy and a tight fiscal policy.

Feedback

The correct answer is: Adopt a loose monetary policy and a tight fiscal policy.

Question 94

In a monetarists view BOPs disequilibrium a monetary flow resulting from an excess demand for money in relation to the stock of money supply

Select one:

- a. Both surplus & deficit in the BOPs
- b. Surplus in the BOPs
- c. Deficit in the BOPs

Feedback

The correct answer is: Surplus in the BOPs

Question 95

If we cannot get the structural coefficients from the reduced form estimates,

Select one:

- a. Exactly identified
- b. Unidentified
- c. Over-identified
- d. Identified

Feedback

The correct answer is: Unidentified

Question 96

Slower productivity growth is equivalent to a relative increase in prices

Select one:

- a. Leads to a real depreciation of the currency in the LR
- b. Leads to a nominal depreciation of the currency
- c. Leads to a nominal appreciation of the currency

d. Leads to a real appreciation of the currency in the LR

Feedback

The correct answer is: Leads to a real depreciation of the currency in the LR

Question 97

Which one of the following is the characteristic of the log odds ratio?

Select one:

- a. It is linear in X_i and β_i .
- b. The log odd ratio and probability both are bounded between 0 and 1.
- c. As probability goes from $-\beta$ to $+\beta$, the logit goes from 0 to 1.
- d. Probability (P_i) is linearly related to Z_i (i.e. X_i) and β_i

Feedback

The correct answer is: It is linear in X_i and β_i .

Question 98

When the national bank of Ethiopia lends reserves to depository institutions, it charges them interest. That interest rate is called the,

Select one:

- a. Loan rate
- b. Federal funds rate
- c. Discount rate
- d. Real interest rate

Feedback

The correct answer is: Discount rate

Question 99

If the real exchange rate is high based on our definition ($E=P/P^*$) foreign goods:

Select one:

- a. Are relatively cheap and domestic goods are relatively expensive
- b. And domestic goods are both relatively expensive.

- c. And domestic goods are both relatively cheap.
- d. Are relatively expensive and domestic goods are relatively cheap.

Feedback

The correct answer is: Are relatively cheap and domestic goods are relatively expensive

Question 100

Which one of the following is correct about perfect competitive market structure?

Select one:

- a. The demand curve for the firm is downward
- b. The supply curve is horizontal for the firm
- c. Market demand curve is horizontal
- d. Market demand curve is downward sloping

Feedback

The correct answer is: Market demand curve is downward sloping

Question 101

Which one of the following refers to panel data?

Select one:

- a. Data on the income of 5 members of a family on a particular year
- b. Data on the birth rate, death rate and population growth rate in developing countries over a 10-year period
- c. Data on the unemployment rate in a country over a 5-year period

Feedback

The correct answer is: Data on the birth rate, death rate and population growth rate in developing countries over a 10-year period

Question 102

Select one:

- a. Isoquant must be concave to the origin

- b. The slope of marginal product of labor and capital must be zero
- c. Isoquant must be upward sloping
- d. The slope of marginal product of labor and capital must be negative

Feedback

The correct answer is: The slope of marginal product of labor and capital must be negative

Question 103

If all the cross-sectional units have the same number of time series observations, the panel is known as

Select one:

- a. Balance
- b. Stationary
- c. Significance
- d. Non-stationary

Feedback

The correct answer is: Balance